



Real Estate and REIT Cash Flow Matrix

Quantitative Financial Blueprint for Physical Property and Liquid Real Estate Investments

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Wall Street Smarts, Blockchain Hearts.

Real Estate Edition

Educational edition

Important notice

Read this first

This guide is educational only and is not legal, tax, lending, or investment advice. Real estate results vary by market, financing terms, insurance, taxes, and repair costs. Readers should consult qualified professionals before making transaction decisions.

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Section 1. Core Financial Formulas and Metrics

Real estate becomes much easier to compare when you stop thinking in vibes and start thinking in formulas. The six metrics below are the backbone of disciplined property analysis.

Metric	Formula / Meaning
Gross Potential Income (GPI)	Total units x market monthly rent x 12
Effective Gross Income (EGI)	GPI minus vacancy allowance
Net Operating Income (NOI)	EGI minus operating expenses
Capitalization Rate (Cap Rate)	NOI divided by purchase price
Cash-on-Cash Return (CoC)	Annual pre-tax cash flow divided by total cash invested
Debt Service Coverage Ratio (DSCR)	NOI divided by annual mortgage debt service
Why these metrics matter	
Cap rate tells you what the property produces before debt. CoC tells you what the equity earns after the loan. DSCR tells lenders whether the income can carry the debt.	

Section 2. Step-by-Step Deal Analyzer Walkthrough

Sample single-family rental assumptions

- **Purchase price:** \$300,000
- **Down payment:** \$60,000
- **Closing costs and prep:** \$8,000
- **Total cash invested:** \$68,000
- **Mortgage:** \$240,000 at 6.5% on a 30-year fixed
- **Gross rent:** \$2,800 per month

Income and expense math

- Gross annual rent: \$33,600
- Less 5% vacancy: -\$1,680
- Effective Gross Income: \$31,920
- Property taxes: \$3,600

- Insurance: \$1,200
- Repairs and maintenance: \$3,192
- CapEx reserve: \$3,192
- Property management: \$3,192
- Total operating expenses: \$14,376
- Net Operating Income: \$17,544
- Monthly principal and interest: about \$1,517
- Net annual pre-tax cash flow: about -\$660

Sample verdict

At \$300,000 this deal is weak on cash flow, even though the cap rate is roughly 5.85%. A lower purchase price or higher rent would improve the spread.

Section 3. Public REITs vs Physical Real Estate

If you want real estate exposure without being the landlord who gets the 2 a.m. phone call about a water heater, REITs are the liquid version of the asset class. They can be easier to trade, easier to diversify, and easier to size inside a portfolio.

- **P/FFO:** For REITs, price-to-FFO is often more meaningful than a normal P/E ratio.
- **Payout ratio:** Dividends are generally safer when the payout ratio is not stretched too high relative to FFO.
- **Data centers:** Data center REITs can benefit from AI compute demand and storage growth.
- **Industrial and logistics:** Warehouses and logistics hubs can benefit from e-commerce and supply chain expansion.

Section 4. Creative Financing and Capital Accumulation

- **DSCR loans:** These focus heavily on property cash flow rather than personal income, which is useful for investors with strong deals and messy W-2s.
- **FHA house hacking:** Live in one unit of a 2-4 unit building and use rent from the others to help cover the mortgage.
- **BRRRR:** Buy, rehab, rent, refinance, repeat. It is simple to say and very not simple to execute, which is classic real estate.

Execution note

Financing is not just about approval. The real question is whether the debt structure still works if rents are flat, repairs rise, or rates stay ugly.

Section 5. Real Estate Deal Checklist

- Cap rate exceeds local market averages.
- Cash-on-cash return is strong after vacancy, CapEx, and management.
- DSCR is at or above lender threshold, often around 1.25.
- Location has population, job, and rent support.
- Exit plan is realistic, not fantasy-flavored.

Simple rule

A good property does not need perfect conditions. It needs enough margin for human error, because humans are very committed to creating extra costs.

Section 6. Underwriting Scorecard

Factor	Target	Notes
Cap rate	Above local average	Compare against similar properties
CoC return	8% to 10%+	After reserves and management
DSCR	1.25 or higher	Common lender comfort zone
Vacancy assumption	5% to 10%	Be conservative when possible
CapEx reserve	At least 5% to 10%	Roofs and HVAC do not care about optimism

Investor principle

If a property only works under perfect assumptions, it does not really work. It is just a spreadsheet wearing a costume.

Section 7. Due Diligence Checklist

- Review comparable rents, not just seller claims.

- Verify taxes, insurance, and any special assessments.
- Inspect roof, HVAC, plumbing, electrical, and foundation.
- Read the lease terms and tenant profile carefully.
- Stress test the deal with higher rates, lower rent, or longer vacancy.

Final filter

A deal is only as good as the assumptions behind it. Fast underwriting is useful; lazy underwriting is expensive.